

ASSESSMENT TITLE - APPLYING FINANCIAL ACCOUNTING TO ANALYSE BUSINESS PERFORMANCE

ASSESSMENT TASK

You are required to write a 2,000-word individual report that analyses how financial accounting information helps businesses assess their performance and make decisions.

You may use the same company from your presentation or choose a different organisation.

Your report should include the following.

1. Introduction to the organisation

- Outline the organisation's background, type, and main operations.
- State why financial accounting is important for this business.

2. Understanding financial accounting in the business

- Explain how the organisation records and manages its accounting information.
- Describe the main financial statements the organisation prepares and their purpose.
- Include examples or extracts (where available).

3. Financial performance and position analysis

- Calculate and interpret basic financial ratios, including the below.
 - Profitability ratios
 - Liquidity ratios
 - Efficiency ratios
 - Gearing ratio (if relevant)
- Compare your findings with the previous year and comment on any trends or insights.

4. Importance of accounting standards and accuracy

- Briefly discuss why businesses must follow accounting standards to ensure reliability and transparency.
- Explain what can happen when accounting information is not prepared accurately or ethically.

5. Conclusion and recommendations

- Summarise what the financial results tell you about the organisation's performance.
- Suggest one or two practical recommendations to help improve its financial reporting or decision-making.

Notes - Use of AI tools are limited to assistive roles (e.g., spelling, structure checking).

Criterion	Marks	A* (80% +)	A (70–79%)	B (60–69%)	C (50–59%)	D (40–49%)	E/F (<40%)
Introduction to the Organisation	10	Excellent, clear, detailed introduction showing strong understanding of the business.	Clear and relevant introduction.	Good introduction; some gaps.	Basic but acceptable.	Limited or unclear.	Missing or incorrect.
Accounting Processes & Financial Statements	20	Excellent explanation of how financial info is recorded; strong explanation of statements.	Clear explanation; minor gaps.	Good explanation with some detail missing.	Basic explanation; limited understanding.	Weak or unclear.	Incorrect or missing.
Ratio Analysis & Interpretation	25	Accurate ratios with excellent interpretation and year comparison.	Accurate with good interpretation.	Mostly accurate with descriptive interpretation.	Basic ratios; limited insight.	Weak analysis; errors in ratios.	Incorrect or missing ratios.
Accounting Standards & Ethical Accuracy	15	Excellent explanation of standards + importance of accuracy and ethics.	Clear explanation with examples.	Good but lacks depth.	Basic coverage; minor errors.	Minimal understanding.	Missing or incorrect.
Conclusion & Recommendations	10	Strong, well-argued conclusion + realistic recommendations.	Clear conclusion; useful suggestions.	Adequate summary; basic suggestions.	Weak or generalised conclusion.	Minimal or unclear.	Missing.
Structure, Presentation & Referencing	10	Highly professional structure, excellent writing, correct referencing.	Well-structured; good writing.	Generally clear; some referencing errors.	Basic structure; minor issues.	Weak structure; poor referencing.	Very poor or unreferenced.